

trouble. In 1929, the stock market was vastly overpriced, and the general state of American business and the rate of America's economic expansion were such as to justify little or none of the stock buying that carried prices to the towering peaks from which they inevitably had to fall.

Despite all the efforts that have been expended to draw a close parallel between the 1929 crash and the 1962 price break, the two have practically nothing in common.

True, some segments of the stock market were grossly overpriced in 1960–1962; far too many stocks were priced far too high. But the nation's business outlook was generally good in 1962 and the economy was expanding at a merry clip. There were no hidden, deep-down structural flaws in the economy such as there had been in 1929.

There were other great differences. In 1929, stock speculation was done mainly on borrowed money; shares were purchased on the most slender of margins. Thus, when prices collapsed, credit collapsed, too.

Then, of course, there is the most important difference of all, the one the calamity howlers conveniently forgot. May 28, 1962, was not a crash. It was an adjustment—albeit a somewhat violent one.

As I've said, some stocks were selling for more than 100 times their earnings during the height of the 1960–1962 boom. Now, it would be rather difficult for a company to expand enough to justify stock prices that were 100 times the company's per-share earnings. Even assuming that every penny of the company's earnings were paid out in dividends to common-stockholders, the stockholders would still be receiving only a one-percent return on their investment. But if all earnings were distributed in dividends, there would be no money left for the company to spend on expansion. That, of course, would effectively eliminate any possibility of capital growth. Yet, even with these glaringly self-evident truths staring them in the face, people bought overpriced stocks.

Such were the difficult situations that developed—and that caused the stock market to fall. Experienced investors